

One surprising aspect of behavioral finance research is that a majority of individual investors surveyed know that they don't invest well. According to a Vanguard Group survey of 401(k) participants, a sizable 85 percent of employees consider themselves to be unskilled investors and would rather hire a professional manager.

Interestingly, the Vanguard Group found that the poorest-performing investment accounts in 401(k) plans belong to those participants who have the most education, have the highest incomes, and consider themselves skilled investors. Researchers Olivia Mitchell and Stephen Utkus at the University of Pennsylvania's Wharton Pension Research Council studied why a high-paid professional might have low returns.¹ They found that individuals who earn more are likely to be higher up the management hierarchy, making them feel more in control of their destiny. Utkus found that the overconfidence of higher-income participants caused them to trade more often. This was a major factor leading to lower investment performance.

Professor Meir Statman (Santa Clara) is an expert in a behavior known as the *fear of regret*. People tend to feel sorrow and grief after having made an error in judgment. Investors are typically emotionally affected when a security was bought for more than the current price. Some psychologists have concluded that investors typically consider the loss of \$1 twice as painful as the pleasure from a \$1 gain.

Statman's findings have a direct impact on investors using asset allocation strategies. Rebalancing a portfolio requires that investors sell part of a winning investment and buy more of a losing one. It is hard for investors to sell what makes them happy and buy more of what makes them sad, especially during a deep bear market when everyone is gloomy.

The research on behavioral finance is wide and deep. In recent years there have been dozens of books published on the subject. Most of these books can be checked out at your local library. There is also a significant amount of information available on the Internet for free. A virtual clearinghouse of behavioral finance studies can be found at www.behaviouralfinance.net.

DISCOVERING YOUR RISK TOLERANCE